XTENDA FINANCIAL HOLDINGS LIMITED
and
FRANCIS MUNORWEI DZANYA
and
BEKITHEMBA MOYO
and
BINDZILE MUNATSI N.O (In her capacity as the Executrix of Estate Late Douglas T Munatsi)
versus
EVER PROSPEROUS WORLDWIDE LIMITED
and
A.B.C CHINAKE N.O

HIGH COURT OF ZIMBABWE
CHITAPI J
HARARE; 17 March and 11 June 2026

Court Application – setting aside of arbitral award

F. Mahere with S. Sangula for applicants
L. Madhuku with M. Mbuyis,a for 1st respondent
No appearance for 2nd respondent

CHITAPI J: The first applicant Xtenda Financial Holdings Limited is a company incorporated in Mauritius. The second applicant is Francis Munorwei Dzanya as with the third respondent Bekithemba Moyo are male adults of Harare. The fourth respondent Bindzile Munatsi is cited in her official capacity of executrix of the estate late Douglas Tawanda Munatsi. The late Douglas Tawanda Munatsi, the second and third applicants issued personal guarantees in respect of a promissory note reference XFHL 02/21 which was issued by the applicant in favour of the first respondent, Ever Prosperous Worldwide Limited, a company duly incorporated in the British Virgin Islands. The parties are before second respondent ABC Chinake, the arbitrator in a dispute pitting the first respondent against the first, second, third and fourth applicants as respondents.

In the course of the arbitration, the second respondent issued an interim award in the form of an interlocutory ruling disposing of a composite special plea raised by the applicants

therein. He also dismissed an application for absolution from the instance filed by the applicants. The applicants are dissatisfied with the dismissals. They therefore seek to have the interim award set aside with ancillary. For the avoidance of doubt, the applicants seek an order couched in their draft order as follows;

"IT IS ORDERED THAT:

1. The application be and is hereby granted
2. The Interim Arbitral award in the dispute between the 1st- 4th applicants and the respondent issued by Honourable Mr Addington Bexley Chinake dated 4 July, 2025 be and is hereby set aside.
3. The proceedings before the Honourable Arbitrator Mr Addington Bexley Chinake are hereby terminated.
4. The first respondent shall bear the costs of this application on an attorney and client scale."

I consider it convenient to set out the basis of this application as expressed by the applicants in paragraphs 9 and 10 of the founding affidavit. They say as follows through the deponent, the third applicant;

"9. This application is made in terms of Article 34 (2)(b) od the First Schedule to the Arbitration Act [*Chapter 7:15*]. I hereby apply to this Honourable Court for the setting aside of the Interim Award, issued by the 2nd respondent on 4 July 2025 on the basis that the award is in conflict with the public policy of Zimbabwe. There is evidence of violation of the principles of natural justice in the making of the award and the award itself. Further the substantive effective of the award in contrary to public policy.

10. I am advised and I believe that the second respondents interim award is not just faulty or incorrect. It goes beyond at simple mistake and amounts to a serious injustice. The decision is so unreasonable and so far removed from common sense that any fair-minded person would feel that it offends the basic idea of justice in Zimbabwe. It is in short against public policy of Zimbabwe."

The brief background to the dispute as set out by the applicants is that on 29 June 2021 the first applicant issued a promissory note XFHL 02/21 in favour of the first respondent in the sum of US$ 2 800 000 and interest of US$ 359 000. The reason for issuing the note was to acknowledge the said amounts as owing by the first applicant upon its takeover of a financial business called MyBuck domiciled in Mozambique in favour of the first respondent. The promissory note was issued on 1 July 2021. Its maturity date was on or before 30 June 2024. The second, third and fourth respondents signed notarized personal

guarantees on the promissory note on 24 June 2021 to secure its issue. The guarantees are for the sum of US$ 4 000 000 each.

The applicants aver that the first applicant made payments to the first respondent in the sum of US$ 3 141 693. They aver further that despite the fact that this amount was paid, the first respondent caused summons to be issued against the third applicant in Case No HCH 409/24. Therein, the first respondent claimed payment of the sum of US$ 4 502 407.11 with interest thereon at the rate of 18% per annum from 6 May 2024 to the date of full payment. The cause of action was based on the personal guarantee issued by the third applicant on the promissory note aforesaid. The guarantee in the sum of US$ 4 000 000 had increased to US$ 4 502 407.11 with the US$ 502 407.11 being representative of interest accrued to 6 May 2024. The said case No HCH 409/24 was determined by MAFUSIRE J as an opposed matter in the Commercial Court by judgment No HH 31/25 dated 3 February 2025. The relevant operative part of his judgment was expressed in the order in paragraph 41 as follows:

> " [41] The plaintiff is entitled to its provisional sentence in the amount claimed together with interest, costs at the higher scale and collection commission in a fixed amount. This was all by agreement. Therefore, the following order is hereby issued:
> I) The defendant shall pay the plaintiff the sum of US$4 502 407-11 together with interest thereon at the rate of 18% per annum from 6 May 2024 to the date of payment in full.
> ii) The defendant shall pay the costs of suit on a legal practitioner and client scale and collection in the sum USD450 240-71."

The order became a final judgment as the third respondent did not timeously take steps to defend it in terms of the rules.

The first respondent filed a claim before the second respondent as arbitrator. Therein the first respondent claimed as against the four applicants herein jointly and severally the one paying the other to be absolved, payment of US$ 4 116 327.45 with interest thereon at 42% per annum for the period 1 October 2022 at 48% per annum for the period 1 June 2023 to 30 November 2023, at 54% per annum from 1 December 2023 to date of final payment. From the above amounts was to be deducted US$ 2 675 093 received by the first respondent between the period 1 October 2022 to 20 January 2025. Additionally, the first respondent sought an order that share certificates held by one Innocent Chagonda be declared specially executable together with all other security which was provided by the second to fourth applicants. The first respondent also claimed that the amounts realized from the sale be

committed to payment of the amounts determined to be due with any excesses being paid to the applicants. The first respondent claimed costs on the higher scale, collection commission and value added tax.

The first respondent's claim is based on the promissory note which is a common cause document. It alleges that the promissory in question was subsequently amended orally on or about 25 November 2022 to increase interest rates and to factor in other outstanding loans.

The applicants in response to the first respondent filed a special plea. The gist of that plea is that the first respondent's claim is subject to *res judicata* as the same claim was determined in the judgment HH 31/25 by MAFUSIRE J in case No HCH 409/24. Specifically, the applicants allege that the action under case No HCH 409/24 was based upon the same promissory note, the parties are the same and so is the relief sought. They alleged that the partial award related to amounts admitted to be outstanding under the promissory note. The applicants averred that the claim of the first respondent on the promissory note was finally determined in case No HCH 409/24 and could not be again be sued upon as the first respondent sought to do.

The first respondent in response averred that the cause of action was not the same. It averred that the various claims for interest were not determined by the court in judgment HH 31/25. The first respondent averred that it would take account of the judgment aforesaid and exclude the claim on the capital amount granted therein of US$ 4 502 407.11 but persist with the interest claims.

The second respondent wrote a lengthy interim award which covered the points *in limine* raised by the applicants. Without going into much detail, in relation to *res judicata*, the second respondent noted that the applicants partially admitted that the sum of US$ 940 628 owing on the claim as at 31 January 2025. The applicants denied that the parties had a "verbal, tacit, implied, written or otherwise" agreement to pay increased or additional interest at rates above 18% as claimed by the first respondent. The second respondent also noted that the applicants had raised the defence of the usurious and illegal claim for interest at rates not sanctioned by law. He also noted that the parties had individually settled issues for determination. He noted that the first respondent had sought to amend its prayer to have an order for the agreed amount of US$ 940 628 being granted against the applicants had filed an appeal against the applicants. The second respondent noted that the applicants had filed an

appeal against the judgment No HH 31/25 and that the appeal was pending. Thus, the noting of appeal would have the effect of suspending judgment no HH 31/25. As such the judgment could not be said to be *res judicata*.

The second respondent extrapolated the law on the defence of res judicata and noted that its purpose was to bring finality to litigation. Relying on several authorities, the second respondent significantly cited the case of *Toro* v *Vodge Investments Pvt Ltd and Ors* SC 15/17 where it is stated:

> "For the plea to be upheld, the matter must have been finally and definitively dealt with in the prior proceedings. In other words, the judgment raised in the plea must have put to rest the dispute between the parties on the substantive issues before the court or on the competence of the parties to bring or defend the proceedings. The cause of action as between the parties must have been extinguished by the judgment"

The second respondent also reasoned that provisional sentence going by the rules was not "final and conclusive". As such the second respondent held that *res judicata* will apply to where the court has issued a final judgment which is not a subject of a pending appeal. He also noted that there was only the third applicant as defendant in case No HCH 409/25. The plea of *res judicata* was therefore dismissed.

In relation to absolution from the instance which the second respondent dismissed the applicants averred that the first respondent failed to establish a *prima facie* case. To prove the relief set out in the amended prayer. It was averred that the claims for increased interest were not proved because there was no evidence to prove that the increases of 42, 48 and 54 per percent respectively as claimed were agreed. The applicants averred that the second respondent failed to properly engage meaningfully and substantially the issue of whether the first respondent had established a *prima facie* case. The second respondent was impugned for stating that the application for absolution was *ex facie* inconsistent with the statement of defence. It was averred that by focusing on the statement of defence as being inconsistent with the application for absolution, the second respondent failed to identify an actual *prima facie* case made out by the first respondent and did not focus on the evidence of the first respondent. I must note in this respect that the applicants did not state or outline the alleged inadequate evidence of the first respondent which the second respondent allegedly omitted to engage. They averred that the alleged failure by the second respondent to make a finding on whether or not the first respondent's evidence established a *prima facie* case offended the public policy of Zimbabwe and rendered the award unsustainable as it would lead a

reasonable, fair minded and sensible person to hold that the conception of justice in Zimbabwe has been intolerably hurt.

In response to the alleged attack on the second respondent's findings on absolution, the first respondent averred that the applicant attack did not have merit. The first respondent averred that the applicants admitted indebtedness to the first respondent in the statement of defence. Such admission *inter alia* established a *prima facie* case against the applicants so it was argued. The first respondent averred that the second respondent was not limited to considering only questions and answers given in the cross examination of the first respondents witness but that he considered the pleadings as a whole as filed as well as witness statements.

In the interim award the second respondent dealt with the issue of absolution from the instance at length. He set out the issues for determination as submitted by the parties. Most issues dove-tailed. Without being exhaustive the issues can be said to revolve around whether the applicants were well indebted to the first respondent on the admitted promissory notes in the amounts claimed by the first respondent. The claims included the increased interest rates, consolidation of other outstanding obligations, costs and their level impermissibility, collection commission together with legal costs. The second respondent dealt with the grounds of the application as advanced by the applicants as follows in paragraph 43 of the interim award.

> [43] The grounds upon which Absolution in the Instance is sought by all the Respondents are that:
>
> i. there is no prima facie case for the relief sought in the Claimant's amended Prayer;
> ii. the Claimant failed to prove the terms of the amended promissory note;
> iii. the Claimant failed to establish the quantum of the Respondents' liability pursuant to a valid signed and binding promissory note, as required by law;
> iv. the claim is illegal
> v. and since the 1st, 3rd and 4th respondents are "privies" of the 3rd Respondent (against whom provisional sentence has been entered) the Claimant cannot now sue them or pursue the present proceedings.
>
> [44] The Respondents further submit that there is no evidence that has been adduced by the Claimant upon which a Court, applying its mind reasonably, could or might find for the Claimant.

In paragraphs 69-71 of the interim award, the second respondent stated as follows;

> "[69] The benefits at law, renounced by the Respondents in the loan documentation are material in their legal effect.

> [70] A reading of the Statement of Defence and the written witness statement filed by the Respondents shows that, the 1st to 4th Respondents appear to accept liability (on a limited basis, *ex facie* the terms and conditions of the Promissory Note dated 1 July 2021, but dispute matters of interest; the existence of the oral agreement; and the alleged consolidation of unrelated debts) in respect of loans received from other parties related to Claimant and advanced to entities related to some of the Respondents see for instance Paragraph 20, Statement of Defence.
> [71] The Application for absolution from the instance is therefore, on the face of it, inconsistent with the statement of defence and the prayer made by the Respondents themselves that a limited Award be made in the admitted sum of USD940 628.00"

The second respondent summed up the reasons for the dismissal of the application and noted inter-alia that given the admissions made by the applicants on the claimed indebtedness whereof they admitted liability for US$ 940 628 which the first respondent disputed, the matter could not be determined without the applicants giving evidence. He noted that to grant absolution from the instance in the face of the unwithdrawn admissions was improper. The second respondent stated in paragraph [84] of his interim award as follows:

> "[84] In such circumstances the Tribunal must be slow to grant Absolution from the Instance in accordance with the case of *Katere* v *Standard Chartered Bank Ltd* HB 51/08 op cit. There is a clear admission of indebtedness on the part of the Respondents. The dispute as regards the existence of an oral agreement is very much alive and requires rebuttal. The question of what interest rate applies can only be determined with the benefit of hearing the Respondents on this point as their pleadings admit to 5% interest and whilst their Counsels submits that 18% is the "correct rate of interest".

To conclude his findings on the absolution from the instance application, the second respondent stated in paragraph 85 as follows

> "[85] At this stage, the Claimant only has to prove a *prima facie* case and the evidence led to date, supported by the voluminous Record filled with common cause documentation, cannot be said to be so manifestly unsatisfactory or unreliable as to warrant dismissal of the claim nor that the Claimant has failed to establish any essential element of its claim. The Tribunal is of the view that the Claimant has made an arguable prima facie case and the therefore Respondents ought to be put in their defence. Absolution from the instance cannot be granted on the evidence before the Tribunal and is therefore refused with costs in the cause. It is not necessary to deal with the other submissions made by Counsel in light of the above reasoning."

It stands to reason that contrary to what the applicants assert in this application that the second respondent was not advised to consider the evidence and only relied on a consideration of the first respondent's claim in dismissing the application for absolution from the instance, the second respondent was properly directed and considered the available

evidence including admissions of indebtedness amongst other facts and circumstances as stated in the quoted paragraphs above.

The second respondent was attacked for not considering the applicants defences of *lis pendens* as an alternative defence to *res judicata* and illegality. These defences are a question of mixed fact and law. The onus to establish them rests on the party who raises them. On the issue of illegality, the parties in their issues did not raise the issue in the manner that it is sought to be argued. The first respondent claimed increased interest rates. The applicants claimed that there was agreement to pay those rates. The issue of whether or not such rates were agreed became a triable issue. It seems to me that the position would have been different had the applicants pleaded a confession and avoidance. They did not admit the interest rates and seek to avoid liability on the basis of illegality.

On *lis pendens*, the issue was dealt with in the interim award and the position which was advanced was that the provisional sentence judgment was not final and that in any event there was a pending appeal which meant that the matter was incomplete. *Lis pendens* is not a bar to ongoing proceedings see *Diocesan Trustees for the Diocese of Harare* v *The Church of the Province of Central Africa* HH 166/09. HLATSWAYO J (as he was then) stated:

> "The plea in abatement that there are pending proceedings between the same parties (*lis alibi pendens*) is raised by a party that is able to establish the following prerequisites: (a) that the litigation is pending; (b) the other proceedings are between the same parties or their privies; (c) the pending proceedings are based on the same cause of action, and (d) the pending proceedings are in respect of the same subject matter. However, even if a party satisfies all the requisites, the court still has discretion to order or refuse a stay of proceedings on the grounds of *lis alibi pendens*, and in the exercise of that discretion it will have regard to the equities and to the balance of convenience in the matter. See *Mhungu v Mtindi 1986 (2) ZLR 171 (S); Baldwin v Baldwin 1967 RLR 289 (G); Chizura v Chiweshe 2003 (2) ZLR 64 (H)"*

The issue which arises is whether even assuming that the second respondent did not deal with the *lis pendens* defense, a point not established, the ensuing judgment or such failure would in the light of the fact that the defense does not automatically bar parallel proceedings it can be stated the public policy of Zimbabwe so offended that it can be said that the conception of justice has been intolerably hurt.

The above therefore summarizes and interrogates facts of the application. In the opposing affidavit the first respondent raised a point in *limine*. The point raised was that the interim award which is the subject of the application is not in the nature of an award as contemplated in Article 34 of the Model Law. Further, the first respondent averred that the application did not merit calling in the court to intervene in the unterminated proceedings as

no exceptional circumstances were shown to exist to merit the court's intervention. The first respondent argued that Article 34 envisages a challenge to an award which terminates the arbitration in the manner of a final decision being granted or issued. It was argued that not every interlocutory ruling qualifies to be described as an award as contemplated in Article 34. Counsel argued in the heads of argument and before the court that the court should consider the text, context and purpose of Article 34. It was submitted that because the interim award did not amount to an award with final effect it could not be subject to setting aside under Article 34.

In this argument counsel for the first respondent cited the case of *Chegutu Municipality* v *Manyura* 1996 (1) ZLR 252 (S) at 264 D–E to advance his argument that the award referred to in Article 34 is one which has final effect and terminates the arbitration. The court stated:

> "There is no magic about interpretation. Words must be taken in their context. The grammatical and ordinary sense of the words is to be adhered to as LORD WENSLEYDALE said in *Grey v Pearson* (1857) 10 ER 1216 at 124, 'unless that would lead to absurdity or some repugnance or inconsistency with the rest of the instrument, in which case the grammatical and ordinary sense of the words may be modified to avoid that absurdity or inconsistency but no further'."

Reference was also made by counsel to the case of *Natal Joint Municipal Pension Fund* v *Endumeni Municipality* 2012 (4) SA 593 (SCA) para 18 where it is stated:

> "The present state of the law can be expressed as follows: Interpretation is the process of attributing meaning to the words used in a document, be it legislation, some other statutory instrument or contract, having regard to the context provided by reading the particular provision or provisions in the light of the document as a whole and the circumstances attendant upon its coming into existence. Whatever the nature of the document, consideration must be given to the language used in the light of the ordinary rules of grammar and syntax in which the provision appears, the apparent purpose to which it is directed, and the material known to those responsible for its production…The process is objective not subjective. A sensible meaning is to be preferred to one that leads to insensible or unbusinesslike results or undermines the apparent purpose of the document. The inevitable point of departure is the language of the provision itself read in context and having regard to the purpose of the provision and the background to the preparation and production of the document."

The first respondent also raised an allied argument to the effect that the High Court does not interfere in unterminated proceedings in the absence of special or exceptional

circumstances being established by the applicant to move or persuade the court to depart from the general rule of non-interference in uncompleted proceedings pending in an inferior court or tribunal or other quasi-judicial body. The argument will however not hold if it is held that Article 34(2) of the Model Law applies to challenges to any award, interim, interlocutory or otherwise not withstanding that the challenged 'award' does not finalise the dispute effectively.

In submitting on the merits, the first respondent's counsel submitted that the second respondent properly dismissed the application for absolution from the instance. He argued that there was a verbal agreement as adduced in evidence by the first respondent's witness to increase interest rates and consolidate loan portfolios. The second respondent was, it was argued, correct to hold that the applicants needed to engage the first respondent's evidence.

The applicants averred in the answering affidavit that Article 34 of the Model Law applied to the interim award. They averred that the interim award was final and prejudiced the applicants in their defence. They averred that the award divested them of uncontroverted defences by deeming them abandoned and that those defenses were no longer available to the applicants in the conduct if their case. They averred that the irregularities vitiate the proceedings irreparably and that a grave injustice will result in the event that the interim award is not set aside at this juncture. It is my view that nothing much is to be understood by such generalized assertions. I say so because the parties have listed issues which neither party has taken issue with. To show irreparable prejudice to a defence as averred by the applicants they at least should have listed the issues which by agreement of the parties are to be answered by the second respondent and to then show how they will be unable to conduct their defense in proof or rebuttal of the issues. The defenses which the applicants say have been irreparably affected are not engaged. The court is left in a position where it cannot properly appreciate the basis of the assertion that the applicants' defenses are no longer capable of advancement.

In relation to whether the interim award is susceptible to a challenge under Article 34 of the Model Law, the applicants averred that the interim award has final effect which cannot be reversed or addressed by proceeding to the conclusion of the proceedings. They averred

that the interim award is contrary to the public policy of Zimbabwe because "it subverts the law and procedural rules which make up the public policy of Zimbabwe"

The applicants averred that the second respondents deeming of special pleas as abandoned deprived the applicants of legal protection, compelling them to defend the claim without the benefit of properly raised and uncontroverted legal objections, including illegality, lis pendent ad noncompliance with the law.

The applicants averred in relation to the attack on the second respondent for dismissing the absolution from the instance application that the second respondent was not properly directed to the evidence because he ought to have found that the evidence of the first respondent's witness Jayesh Shah did not prove the quantum of the amount claimed. They averred that they could not be called upon to answer a vague claim. It must however be noted that the second respondent made a finding that the applicants had admitted that they owed an amount of US$940 628 which implied that they also had their own calculations which proved the amount due. It cannot be said it offends public policy to call upon the applicants to give evidence of the indebtedness which they admit. The second respondent acted reasonably and sensibly in dismissing the application for absolution from the instance. The issues had to be determined holistically after hearing both sides given the nature of the defenses of the applicant which included an admission of indebtedness.

The applicants notably missed the test for an application for absolution from the instance in paragraph 24 of the answering affidavit. They stated thus;

> "24. The first respondent avers that its claim s clear, yet when it was called upon to prove such claim on a balance or probabilities before the applicant herein could be called to her defense it failed to do so proceeding to call upon the applicants to defend such a vague and unsupported claim is inconsistent with the principles of fairness and due process and thus is contrary to the public policy of Zimbabwe."

The first respondent was not required to prove its case on a balance of probabilities at the end of his testimony but to establish a *prima facie* case. A balance of probabilities as the word balance implies can only be struck if there are two accounts to be interrogated, which means that the other party must have given evidence. The misconception that the first respondent was required to prove its case on a balance of probabilities manifests itself upon a reading of the answering affidavit generally. The applicants herein attack the second respondent's findings as though the challenge to the award is in the nature of an appeal.

A reading of the award in paragraph 86 thereof shows that the applicants seek to build a mountain out of an anthill. They aver that the second respondent wrongfully deemed the pleas abandoned without cause. However, the second respondent in paragraph 86 stated after dismissing the application for absolution from the instance:

> "[86] Since the matter remains alive, I now turn to deal with the special plea of *res judicata* only, as no other aspects of the composite plea have been pursued in *Advocate Mahere*'s submissions and therefore they are taken to have been abandoned. This is particularly so as the admissions in some respects contradict the pleadings and the 3rd respondent's witness statement and the agreed issues presented by the parties for determination."

The first point to note from the above finding is that counsel for the applicants is said not to have made submissions to motivate the pleas in issue. The second respondent therefore correctly, as a legal principle at least, reasoned that the pleas be deemed abandoned as they were not pursued in argument. This in my view is a far cry from holding that the second respondent did not consider or deal with them. He did so because having noted their existence, he found that they were not motivated, advanced or supported in argument. Such a finding or ruling by the second respondent even if erroneous cannot be held to offend the public policy of Zimbabwe.

In analyzing and ruling on this application, the first point I deal with is a point *in limine* taken by the first respondent that the interim award cannot be challenged under Article 34 of the Model Law because the interim award dealt with interlocutory objections or matters. I am not persuaded to hold that the word "award" does not include awards which deal with interlocutory matters.

I agree with the first respondent's counsel submission that when interpreting Article 34, the ordinary grammatical meaning approach should be applied unless to do so results in an absurdity. I further agree that the court must bear in mind the purpose for which the provision at play exists. Article 34(2)(b)(ii) in terms of which this application is made provides that:

> "(2) An arbitral award may be set aside by the High Court only if –
> (a) (i) – (iv) ….
> (b) the High Court finds that:
> (i) ….
> (ii) the award is in conflict with the public policy of Zimbabwe"

It is apparent from the provision that the word "award" is not qualified, whether as interim or final. The purpose of Article 34 which allows the High Court a narrow latitude to

interfere in arbitration proceedings is to strike a balance between the independence of the arbitration process and procedural fairness. Looked at in this context it would be illogical to then seek to streamline the word "award" further. The High Court can therefore interfere with any award, be it interim or final. However, whether or not it will interfere by setting aside the award is a different consideration. It follows that the submission by the first respondent's counsel that there is no award to set aside because the interim award did not have final effect but determined interlocutory matters conflated the issue of the existence of the award, which must be recognized, and it's setting aside. The correct position is that the interim award in issue is properly challenged under Article 34. There is therefore a valid award to challenge. Whether or not the challenge succeeds is a matter of substance and law.

The court has commented on the application of Article 34 as in the case of *Rio Zim Ltd And RM Enterprises Pvt Ltd* v *Maranatha Ferrochrome Pvt Ltd* per UCHENA JA SC 30/22 wherein the learned judge stated in relation to the application of Article 34 as follows;

> "A reading of Article 34 establishes that it provides for the setting aside of awards. It does not provide for the setting aside of rulings by arbitral tribunals…..It also seems to me clear that the word "award" having been used in its generic sense accommodates the setting aside of all awards specified in the Act. Article 34 provides for the setting aside of an award for specified reasons. Its scope is clearly wider than that of Article 16(3). The word "award" is in this article used in its generic sense. The Article does not use the words "final award" used in Article 32(1) which would have restricted it to terminated arbitral proceedings."

In the case of *Wallenn Holdings Pvt Ltd* v *Lloyd and Anor* 1996(2) ZLR 383 (H) CHINHENGO J at p 398 F stated of whether an interim award is final or not;

> "A party is in a proper case entitled to bring to this court an application in which an arbitrator's interim award is challenged and the court has the jurisdiction to entertain and determine the application. An interim award is final and binding in respect of those matters referred to the arbitrator and which are agreed shall be the subject of such an award (see Butler & Finsen op cit p 262). This position may however be altered by the parties if they agree that neither of them may institute review proceedings before the arbitration proceedings were completed."

In the case of *ZESA Holdings Pvt Ltd* v *Clovegate Elevator Co Pvt Ltd* SC 69/23 KUDYA JA cited the following *dicta* from Redfern and Butler - the Law and Practice of International Commercial Arbitration 2nd Ed at p 273 after noting with approval the decision of CHINHENGO J in the *Wallenn Holdings* case *supra* to the effect that interim awards can be challenged if they finalize an agreed issue between the parties:

> "In a sense all awards may be said to be 'final' in that (subject to the possibility of challenge in the courts) they dispose of one or more of the issues in dispute between the parties. For

> instance, an interim (or preliminary) award by an arbitral tribunal in an arbitration under the UNCITRAL Rules, to the effect that it does have jurisdiction to determine the dispute before it, is a final decision on the issue of jurisdiction, subject to any appeal to the competent court."

It follows upon the interrogation of the law on this issue that the objection in *limine* taken by the first respondent does not accord with the law and practice of the courts in this jurisdiction. It must fail.

The dismissal of the point in limine leaves me to consider whether or not the interim award is in conflict with the public policy of Zimbabwe on the grounds relied upon by the applicants. I am not persuaded that the interim award conflicts with the public policy of Zimbabwe.

The applicants in paragraph 13 of the founding affidavit listed seven grounds as grounding their application. They stated as follows;

> "13. The present application is predicated on the fact that the 2nd respondent: -
> i. Improperly dismissed the special plea of *res judicata.*
> ii. Failed or neglected to consider the special plea of *lis pendens* in the alternative to the special plea raised of *res judicata*;
> iii. Improperly deemed the point on illegality as abandoned;
> iv. Improperly incorporated and purported to adjudicate on the claims of a party that is not before him, being Al Shams Global Limited;
> v. Improperly read the guarantees to be made to Al Shams Global when the guarantees were made specifically to Ever Prosperous Worldwide Limited;
> vi. Improperly determined that the 1" Respondent had made a prima facie case on the quantum claimed as well as the liability of the Respondents on the said quantum; and
> vi. Improperly determined that a negotiable instrument was amended, revised or substituted when the legal requirements for such substitution, amendment or revision had not been proved by the 1st Respondent."

The use of the words "improperly determined" in paragraphs (i) and (iii) to (vii) is too wide in meaning and implication. It does not leave the court certain of the nature of the "impropriety." One asks whether the second respondent committed errors of law, fact or both.

A reading of the grounds shows that the conduct complained of is either an error of law, fact or mixed fact and law. I have dealt with most of the grounds elsewhere in this judgment. I will however run through them albeit my comments are brief as they are listed.

(i) This ground is vague and embarrassing and cannot amount to a valid basis to argue that the public policy of Zimbabwe was violated. To say that the second respondent

improperly dismissed the special plea without giving details does not mean anything which the court may scrutinize.

(ii) This ground on *lis pendens* is covered in this judgment. Significantly the second respondent did not fail nor neglect to consider the ground. He noted that the ground had not been advanced by counsel. Such failure led the second respondent to conclude that there was a tacit abandonment. That is what is in the interim award. To state that the second respondent failed or neglected to consider the *lis pendens* plea is a misstatement. He extrapolated it as a point raised in the special plea. The point was according to him then not advanced in argument. Whether in so holding he was correct or not in not what is contended in this ground. It was my note that *lis pendens* even if proved would not have automatically rendered the arbitration proceedings irregular or incompetent to be dealt with.

(iii) On the alleged deeming of the point of illegality as abandoned, even if this were so, the onus to prove illegality rest on the applicants who allege the illegality. To the extent that they are allowed to give their defense, they can establish the illegality. It cannot be said that the public policy of Zimbabwe will be grossly hurt by the failure of an arbitrator to consider the point raised by the applicants as in circumstances where their right to advance their defense of illegality is available when they testify. The second respondent did not dismiss it.

(iv) Grounds (iv) and (v) imply that in ground (iv) an error of law was committed. In ground (v) an error of both fact and law occurred if the allegations are accepted. The issue is whether such errors even if accepted would conflict with the public policy of Zimbabwe especially so in circumstances wherein the issues for determination do not include claims to do with Al Shams Global. What the second respondent is alleged to have done even if true would amount to him straying from the issue. The second respondent did not determine the quantum due and decided to hear the applicants on the issue since they admitted owing an amount of US$ 940 628 to the first respondent. Such mistake of referring to Al Shams Global even if accepted, when considered in the context of the real issues between the parties which is whether or not the applicants owe the amount claimed would not amount to the type of misdirection that offends the public policy of Zimbabwe.

(vi) Even if accepted does not offend the public policy of Zimbabwe. To say that on the evidence the second respondent should not have found that first respondent proved a *prima facie* case on liability and quantum simply amounts to saying that the arbitrator made a wrong decision. The public policy of Zimbabwe is not offended where a wrong decision on a point of fact, law or both is reached by the arbitrator. It must be noted that this arbitration is still to be finalized with the applicants however having agreed on issues to be determined with issues of their computations being ones to which they are privy.

(vii) This ground is really a matter of fact and law whether or not the negotiable instrument being the promissory note herein was amended and whether the amendments are lawful. The applicants also misstate facts to say that the second respondent determined that the first respondent had not proved the amendment. The issue was whether the first respondent had presented a *prima facie* case which if not answered by the applicants, judgment could be granted in favor of the first respondent.

In the leading case of *ZESA* v *Maposa* 1999(2) ZLR (S) at 456 E-G GUBBAY CJ stated;

> "An award will not be contrary to public policy merely because the reasoning or conclusions of the arbitrator are wrong in fact or in law. In such a situation the court would not be justified in setting the award aside. Under article 34 or 36, the court does not exercise an appeal power and either uphold or set aside or decline to recognise and enforce an award by having regard to what it considers should have been the correct decision. Where, however, the reasoning or conclusion in an award goes beyond mere faultiness or incorrectness and constitutes a palpable inequity that is so far reaching and outrageous in its defiance of logic or accepted moral standards that a sensible and fair minded person would consider that the conception of justice in Zimbabwe would be intolerably hurt by the award, then it would be contrary to public policy to uphold it. The same applies where the arbitrator has not applied his mind to the question or has totally misunderstood the issue, and the resultant injustice reaches the point mentioned above."

The standard set is very high. The second respondent is not alleged to have misunderstood the issue. He dismissed the interlocutory points and ordered that the applicants should be heard in their defense so that he makes an informed decision. The grounds of attack as detailed by the applicants are largely challenging the correctness of the second respondent's decision. The applicants have not been taken out of court by the interim award but have been kept in court to speak to the arbitrator and give their side of the story. It must

be noted that the second respondent can still grant an absolution from the instance at the end of the arbitration. The applicants can still advance the illegality of the interest rates claims in their evidence and the second respondent will rule on the defence. It is however noted that there is already an admission by the applicants of indebtedness for a lesser amount. Absolution from the instance could not have been granted where liability is admitted but quantum denied. There is no apparent prejudice which the applicants will suffer if the arbitration proceeds.

It is my finding that this application lacks merit and must be dismissed with costs which in this case must follow the result. The following order shall hereby issue

IT IS ORDERED THAT

1. The application be and is hereby dismissed with costs.

CHITAPI J:……

Honey and Blanckenberg, applicants' legal practitioners
Mtetwa and Nyambirai, first respondent's legal practitioners